DSEH004 · PERFORMANCE MANAGEMENT AND EMPLOYEE ENGAGEMENT

Why Performance Management Is Being Reinvented

Week 1 · Lecture 2 · Unit II · The evidence against annual appraisal and the theories that explain its failure

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L2 · COMMIT BEFORE THEORY

Annual ratings fail because managers are bad at rating.

Agree or disagree. Then name one other reason a rating could be wrong.

What a rating actually measures

SCULLEN, MOUNT AND GOFF (2000)

The idiosyncratic rater effect

In large samples, about 62 percent of the variance in ratings reflected the rater's own tendencies, not the ratee's performance.

BUCKINGHAM AND GOODALL (2015)

What follows

A rating tells you more about the manager than about the employee. Pay tied to it rewards the luck of the draw.

Raters are not inaccurate; they are motivated

MURPHY AND CLEVELAND (1995)

Rating as a goal directed act

Managers rate to keep the team calm, protect budgets and avoid conflict. Accuracy is one goal among several.

LONGENECKER, SIMS AND GIOIA (1987)

Behind the mask

Executives admitted inflating and deflating ratings deliberately, for reasons unrelated to performance.

THEORY, NOT MOOD

The implication

Training raters to see better will not help if their incentives push them to rate otherwise.

L2 · THE RELATIONSHIP PROBLEM

Pulakos and O'Leary: why PM is broken

Wrong target

Firms keep redesigning forms and software, but the failure lies in everyday manager and employee behavior.

Right target

Expectations, ongoing feedback and trust between manager and employee are where performance actually changes.

This is the manager coalition thesis stated as research: the system is the relationship.

Pulakos and O'Leary (2011), Industrial and Organizational Psychology, 4(2)

L2 · WHAT FIRMS DID

Three redesigns and the reasoning behind them

FIRM	WHAT CHANGED	STATED REASON
Adobe (2012)	Annual review replaced by ongoing Check in conversations	Reviews consumed time and damaged morale
Microsoft (2013)	Stack ranking abandoned	Ranking set colleagues against each other
Deloitte (2015)	Ratings replaced by frequent performance snapshots	Nearly 2 million hours a year spent on ratings

Buckingham and Goodall (2015); Cappelli and Tavis (2016)

Cappelli and Tavis: three forces behind the revolution

Development returns

Tight talent markets make it cheaper to grow people than to rank and replace them.

Agility

Annual goals cannot keep pace with work that changes every quarter.

Teamwork

Individual ratings fit poorly when work is done in teams.

Does ranking and removing the bottom work?

SCULLEN, BERGEY AND AIMAN SMITH (2005)

The simulation

Forced distribution with removal of low performers raised workforce potential in early years.

SCULLEN, BERGEY AND AIMAN SMITH (2005)

The catch

Gains shrank sharply after a few years, and the model ignored effects on cooperation and morale.

Bharat Textiles after the OD engagement

METRIC	INHERITED	BENCHMARK
Engagement	3.59 of 5 (from 2.95)	3.85
Manager Quality	3.09 of 5	4.0
Goal documentation	40.6 percent	85 percent
Manager one to ones	0.8 per round	3.0
Recognition frequency	35 percent	55 percent

Quarterly ratings also show recency: Q4 is inflated by 0.40 points.

L2 · TELLING THEORIES APART

Why does appraisal fail? Four answers

THEORY	DIAGNOSIS	REMEDY IT IMPLIES
Measurement	Raters err	Better scales, rater training
Motivated rater	Raters choose to distort	Change raters' incentives
Relationship	Everyday behavior is missing	Build manager habits
System (Deming)	Results reflect the system	Stop rating individuals

Synthesis of slides 3 to 8

L2 · CLOSE

Which of the four diagnoses fits Bharat Textiles best, and what in the inherited data supports it?

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